

Economics

Define utility and explain different concepts of utility with the help of table and diagram.

utility:

It is the characteristic or merit or ability of a commodity to satisfy some human wants.

Example:

- For writing we need pen.
- For thirst we need water.
- For hungry we need meal.

Math Explanation:

If consumer consumes more units of good, its MU falls.

$$MU = f(Q)$$

$Q \uparrow$ $MU \downarrow$

$Q \downarrow$ $MU \uparrow$

MU depends up Quantity of a commodity being consumed

Day: _____

Date: _____

Explanation:-

Table

unit of glass	MU	TU
1	25	25
2	20	45
3	15	60
4	10	70
5	5	75
6	0	75
7	-5	70

Explanations:-

In table we show unit of glass in 1st column, MU in 2nd column and TU in 3rd column.

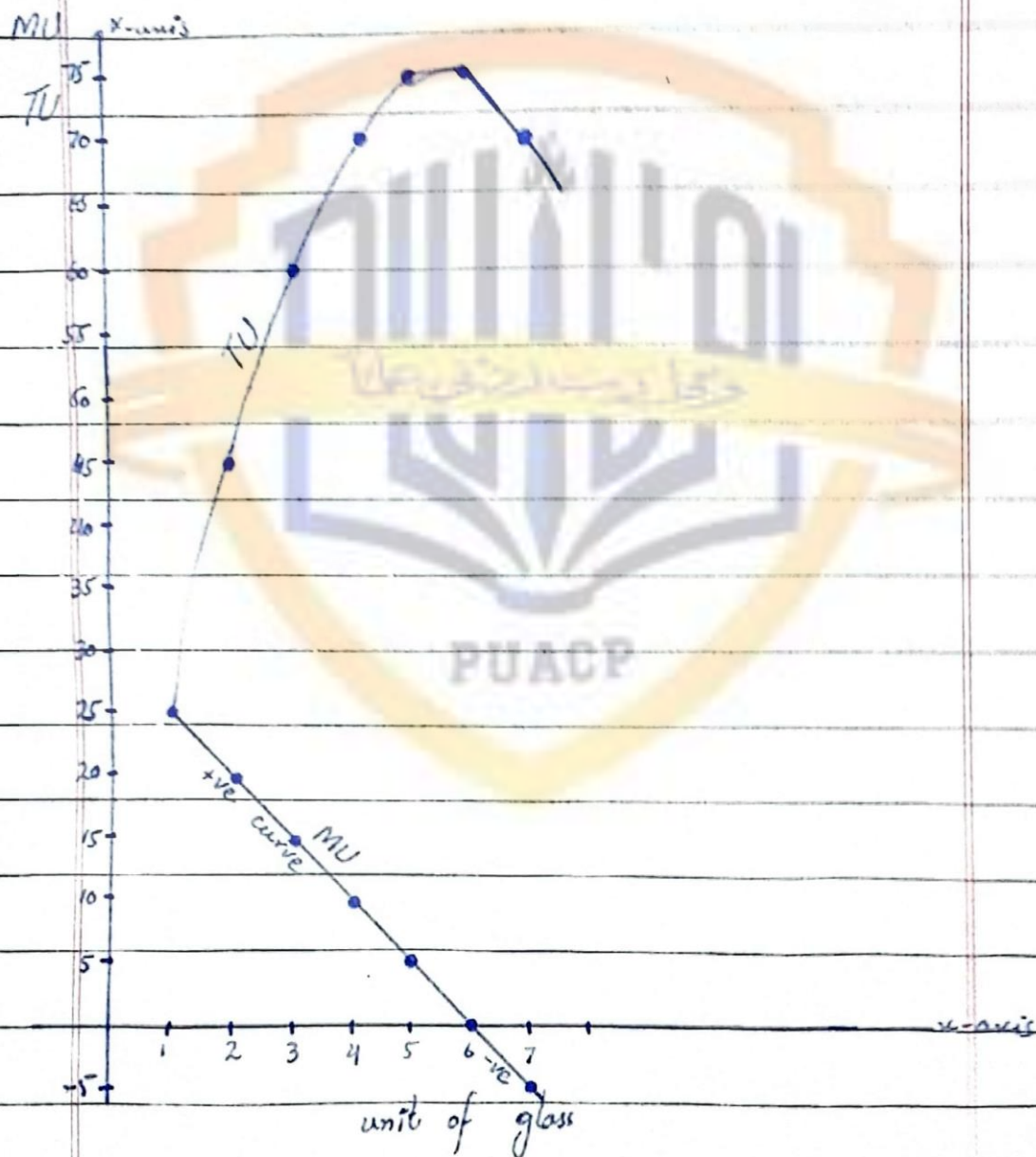
Table shows that if consumer consumes units of a glass continuously then a point will come where marginal utility becomes zero. This point is called point of satisfaction.

Day: _____

Date: _____

Before this point the MU is
+ve and after this point MU
is -ve.

Graph:



Day: _____

Date: _____

Explanation:-

In the graph, we show unit of glass on x-axis and MU and TU show on the y-axis.

Draw the MU and TU curve on graph using the table. The upper part of the graph is called +ve MU curve and lower part is called -ve curve.

At unit 6 the TU is highest and MU is zero. This point is called the point of satisfaction.

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Economics

law of DMU

Def:

According to law of DMU

"If other things don't change, then with the continuous use of a commodity utility of extra or next unit i.e. MU diminishes."

Math Explanation:

If consumer consumes more units of a good, its MU decreases.

$$MU = f(Q)$$

$$MU \uparrow \quad \& \quad Q \downarrow$$

$$MU \downarrow \quad \& \quad Q \uparrow$$

MU depends upon Quantity of a commodity being

Date: _____

Day: _____

consumed.

Explanation

Table:

units of glass	MU	TU
1	20	20
2	15	35
3	10	45
4	5	50
5	0	50
6	-5	45

Explanation:

i) In table we show units in 1st column, MU in 2nd column and TU in 3rd column.

ii) If consumer consumes unit of glass continuously MU decreases. A point will come where MU becomes zero. This is called the point of satisfaction.

iii) MU before S.P is +ve

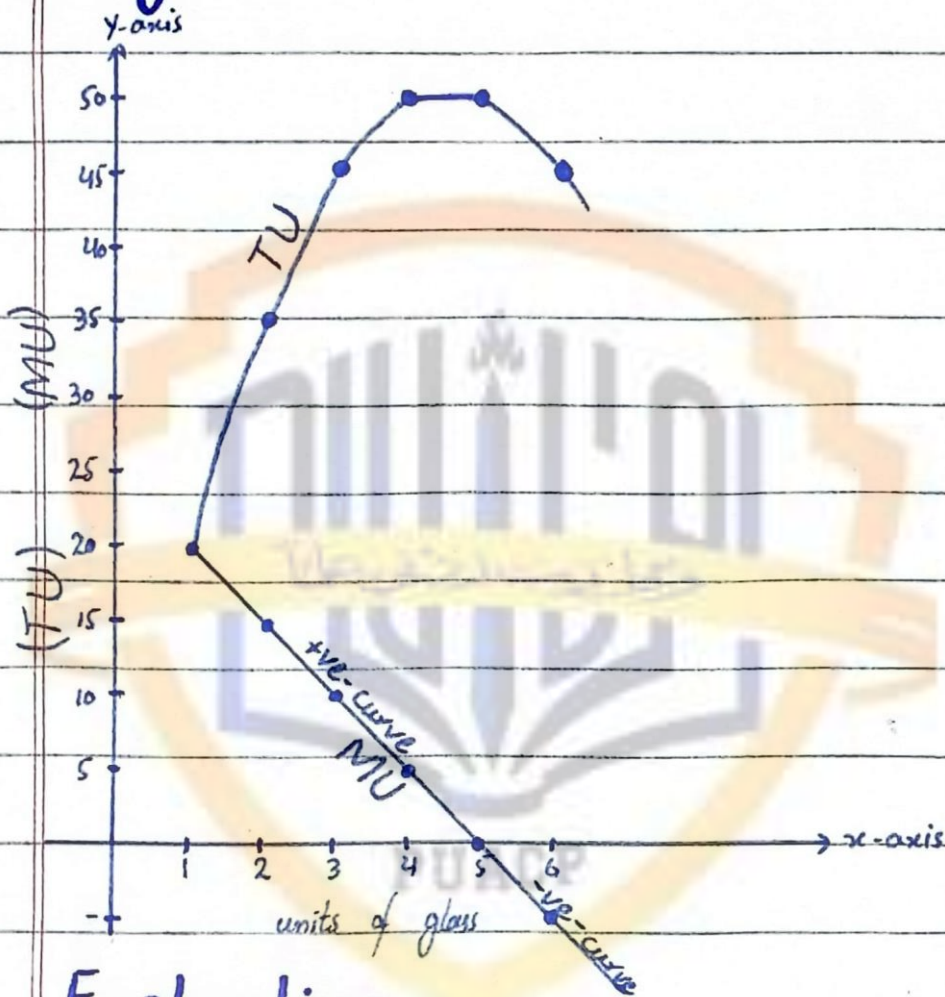
Date: _____

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and after is -ve.

- iv) At point 6 TU is highest and MU is lowest that is 0.

Diagram:



Explanation:-

- i) In diagram at x-axis we shown units of glass and at y-axis we shown MU and TU.

- ii) MU curve is drawn using units of glass and MU. TU curve is drawn using unit of glass

and TU.

iii) The upper part of MU-curve is called +ve curve and lower part is called -ve curve.

iv) From (ta) diagram it is shown that when unit of glass are increased the utility is decreased.

v) A point will come where MU is zero this point is called point of satisfaction.

vi) When MU is 0, TU is highest that is so.

Assumptions:-

Different assumptions of DMU are as follows:-

i) Continuous use:-

Law of DMU is applicable only in case when consumer consumes unit of commodity continuously.

Date: _____

Day: _____

ii) **Homogenous Units:-**

Law of DMU

is applicable only in case when all units of commodity are homogenous. like size and quality.

iii) **Consumer's income:-**

Law of

DMU is applicable only in case when consumer's income remains constant.

iv) **Consumer's behaviour:-**

Law of

DMU is applicable only in case when consumer's behaviour not change.